2023

Karl Marx (1818 – 1883)

Course Title: Economic Thought in Perspective (ECON: 408)

Submitted by:

Team Cartel

1. **Jafar Imam- 426**
2. **Asifa Mehzabin Proma -409**
3. **Marzia Alam Nisha- 406**
4. **Mohamad Gulam Rabbi-1841**
5. **Sara Sultana- 410**
6. **Farjana Karim -408**
7. **Rasel Wahid-452**
8. **Syeda Kanij Fatima Barna-1847**
9. **Mirza Shahnoor Ul Haque -1950**
10. **Ashikun Nobi- 430**

Submitted to:

Kawsar Hossain Sojib
Lecturer,
Department of Economics,
Jahangirnagar University.

KARL MARX:

Karl Heinrich Marx (5 May 1818 – 14 March 1883) was a German philosopher, economist, historian, sociologist, political theorist, journalist, critic of political economy, and socialist revolutionary. Karl Marx was a German philosopher during the 19th century. He worked primarily in the realm of political philosophy and was a famous advocate for communism. He co wrote The Communist Manifesto and was the author of Das Kapital, which together formed the basis of Marxism.

In October 1835 at the age of 16, Marx travelled to the University of Bonn wishing to study philosophy and literature, but his father insisted on law as a more practical field. Due to a condition referred to as a "weak chest", Marx was excused from military duty when he turned 18. While at the University at Bonn, Marx joined the Poets' Club, a group containing political radicals that were monitored by the police. Marx also joined the Trier Tavern Club drinking society (German: *Landsmannschaft der Treveraner*) where many ideas were discussed and at one point he served as the club's co-president. Additionally, Marx was involved in certain disputes, some of which became serious: in August 1836 he took part in a duel with a member of the university's Borussian Korps. Although his grades in the first term were good, they soon deteriorated, leading his father to force a transfer to the more serious and academic University of Berlin.

In 1859, Marx published *A Contribution to the Critique of Political Economy*, his first serious critique of political economy. This work was intended merely as a preview of his three-volume *Das Kapital* (English title: *Capital: Critique of Political Economy*), which he intended to publish at a later date. In *A Contribution to the Critique of Political Economy*, Marx began to critically examine axioms and categories of economic thinking. The work was enthusiastically received, and the edition sold out quickly.

Volumes II and III of *Das Kapital* remained mere manuscripts upon which Marx continued to work for the rest of his life. Both volumes were published by Engels after Marx's death. Volume II of *Das Kapital* was prepared and published by Engels in July 1893 under the name *Capital II: The Process of Circulation of Capital*. Volume III of *Das Kapital* was published a year later in October 1894 under the name *Capital III: The Process of Capitalist Production as a Whole*.

Marx's critical theories about society, economics, and politics, collectively understood as Marxism, hold that human societies develop through class conflict. In the capitalist mode of production, this manifests itself in the conflict between the ruling classes (known as the bourgeoisie) that control the means of production and the working classes (known as the proletariat) that enable these means by selling their labour-power in return for wages. Employing a critical approach known as historical materialism, Marx predicted that capitalism produced internal tensions like previous socioeconomic systems and that these tensions would lead to its self-destruction and replacement by a new system known as the socialist mode of production. For Marx, class antagonisms under capitalism—owing in part to its instability and crisis-prone nature—would eventuate the working class's development of class consciousness, leading to their conquest of political power and eventually the establishment of a classless, communist society constituted by a free association of producers. Marx actively pressed for its implementation, arguing that the working class should carry out organized proletarian revolutionary action to topple capitalism and bring about socio-economic emancipation.

Marx's Critique of classical Economics:

Just when theories of economic harmony were spreading all over the capitalist world, Karl Marx was working on a 'critique of political economy'. There is a close relationship between Marx and the classical economists. In fact, he himself never had any difficulty in acknowledging the scientific merits of the great English classical economists, Ricardo in particular. The name itself, 'classical', which he attributed to them was almost a tribute from a student. By it, he intended to distinguish them from the 'vulgar' economists, the apologists of capitalism who worked to produce consensus rather than science. His definition of 'classical political economy' is simple and rigorous, and coincides with that of 'Ricardian economics': a theoretical system based on the theory of surplus, the labor theory of value, the methodology of aggregates, and the analysis of the behavior of the social classes and their relationships.

Marx considered classical political economy as a theoretical expression of the bourgeoisie in the period when the modern capitalist economy was asserting itself. The historical reference was to the English Industrial Revolution and the struggle for political hegemony that the bourgeoisie conducted in Great Britain and France between 1815 and 1848. In the struggle against the forces of aristocratic and clerical reaction, the bourgeoisie interpreted the needs of the whole society, endeavoring to present its own class interests as collective interests and the spirit of private accumulation as an instrument to increase the national wealth. The other side of the coin was that the interests of the landowners had to be shown as conflicting with those of the collectively. This is why the classical theoretical system was based on the analysis of the social classes, the study of class conflict and the dynamics of economic aggregates resulting from the behaviour and interaction of collective agents. Marx was referring to all this when he argued that the classical economists proposed to penetrate the inner physiology of the bourgeois society. Thus, the analytical apparatus of classical political economy was robust, and Marx adopted it wholesale.

According to Marx, however, after 1830 came an important turning-point in the history of economic thought. The industrial bourgeoisie, as soon as it came to power with the help of the proletariat in England and France, tried to change alliance. At that moment the class conflict with the proletariat had become more important, whereas the struggle with the landowners had abated. Now the bourgeoisie needed to demonstrate that the enlightenment dream of a society of free citizens had finally been realized, that in this society there was no oppression or exploitation, that each person received what he gave, and that class conflict, or, rather the classes themselves, had no longer areas on to exist. At this point a theoretical system based on classes and class conflict no longer served; the theories of harmony of interests and of co-operating productive factors were more useful. Thus, as the scientific inheritance of classical political economy had been betrayed by the 'bourgeois economists', it now passed to the socialist economists. Now it was the working class which represented its interests as coinciding with those of the collectively. This is the origin of the socialist cognitive interests in penetrating the physiology of bourgeois society. Marx believed that the proletariat had inherited science from the bourgeoisie, while waiting to inherit the world.

This would explain the place of Capital in the history of economic thought. And this, according to Marx, accounted for his ability to recognize the limits of classical political economy; in fact, as we should not forget, Marx's theory was a 'critique of political economy'. In more general terms, his basic theory is that Individuals have always and in all circumstances 'proceeded from themselves', but since they were not unique in the sense of not needing any connections with one another, and since their needs, consequently their nature, and the method of satisfying their needs, connected them with one another (relations between the sexes, exchange, division of labour), they had to enter into relations with one another. Moreover, since they entered into intercourse with one another not as pure egos, but as individuals at a definite stage of development of their productive forces and requirements, and since this intercourse, in its turn, determined productions and needs, it was, therefore, precisely the personal, individual behaviour of individuals, their behaviour to one another as individuals, that created the existing relations and daily reproduces them a new.[...] Hence it certainly follows that the development of an individual is determined by the development of all the others with whom he is directly or indirectly associated. (pp. 437–8)

Marx developed an ontology of the social being as an alternative to the one on which the liberal political economy of his times was being founded, an ontology that exalts the role played by the institutions, culture and the material conditions of production on the formation of 'human nature'. Marx invariably refused to see the individual as a social atom or a cog in a wheel and considered human nature as both malleable and autopoietic at the same time. It is malleable since the interests, needs, tastes, endowments and ideas of human beings are formed not by 'nature' but by history and the social context in which they live; the economist cannot therefore take them as 'exogenous data'. Political economy must determine 'human nature' endogenously with respect to the economic structure studied. It is autopoietic since the very circumstances in which the social subjects act are determined by their action and their ends. For Marx, economic action isalways intentional, even when individual perception of the interests in play is distorted by ideologies. For him, the ideologies themselves are instruments of social action. Theory serves practice, science serves social change: the Communist dream of a society made up of free and equal individuals can only come true if it is realized with the conscious intention and the collective action of the subjects who create it.

- Marx made many specific criticisms of the classical economists, but three, in particular, are important. The first deals with their inability to explain the nature of profit and capital. They had posed the problem of determining the size of profits, not that of explaining its social bases, i.e. its origin in the exploitation of labour. Marx acknowledged that Smith had had an insight into the problem and that, in his distinction between embodied and commanded labour, Smith had set down the premises for the correct solution. But Marx conceded nothing more. He did not even acknowledge this in Ricardo.

- The second criticism is linked to the first, and concerns the inability of the classical economists to acknowledge the historical character of capitalism. As these classical economists did not know what capital was, they were unable to distinguish between its technological and social dimensions. As the need to use the means of production to produce goods has always existed and always will, capital and the social order which it creates seem eternal. Marx, on the contrary, argued that capital is a social relationship: it is not simply a set of means of production, but rather, the power that their control gives to the bourgeoisie; the power to use the means of production to produce profits. Only in a particular social system, which he called ‘the capitalist mode of production’, do the means of production become capital. Therefore, the aim of the critique of political economy should be, on the one hand, to understand how this mode of production works and, on the other, to discover its ‘laws of movement’, i.e. its laws of historical evolution and transformation.

- The inability of the classical, but especially the ‘vulgar’, economists to acknowledge the existence of exploitation at the basis of the capitalistic mode of production led them, according to Marx, to focus their attention on relationships of exchange rather than of production. This is the third important criticism. The individuals enter into an exchange relationship as autonomous subjects, for exchange is the result of their independent decisions. They also enter it as equal subjects, for exchange is studied as the exchange between equivalents, and the qualitative difference between the goods exchanged, for example the difference between labour and wages, is hidden by the equality of their exchange value. This is the reason why a market system seems to be a system of equality and liberty. Smith had spoken of such liberty in terms of free competition or ‘perfect liberty’ of the single economic agent. If individuals are equal and free, their ability to recognize and pursue their personal interests will activate the ‘invisible hand’, and this will reconcile the interests of all. Thus, a freely competitive exchange economy is a system of social harmony, a system in which each person has what he wants and manages to pay, i.e. what he gives. It is easy to see why Marx, who wished to explain the nature of the social relationship that ties labour to capital, focused on the sphere of production, rather than that of ‘circulation’ or exchange, and, in particular, the mechanisms that regulate the production of income and its distribution between wages and profits.

Commodity:

1) According to “Capital” (a book by Karl Marx), Capitalism was a system in which wealth appeared as an immense accumulation of commodities, its unit being a single commodity,
2) In Marx’s theory, a commodity is something that is bought and sold, as exchanged in a relationship of trade,
3) In classical political economy and especially Karl Marx’s critique of political economy a commodity is any good or service produced by human labor and offered as a product for general sale on the market
4) A commodity had two characteristics
   I. It was a thing that by its properties satisfies human wants (Use value)
   II. Commodities were the material depositors of exchange-value

Value, Use Value and Exchanged Value:

A commodity value represents the quantity of human labor. Which is the particular physical quantities of human labor.

The particular physical quantities of a commodity from which people denied utility, made the commodity a use value.

The exchange value of a commodity was a ratio of how much of that commodity one could get in exchange for a given amount of some other commodity or commodities. Exchange value helped to compare between commodities. Addition to their exchange value commodities had two other characteristics

1. They all had use values
2. They were all produced by human labor alone

The use value of any commodity had no importance to producers as they don’t use the product and they have no utility. But the commodity has use value to the buyer as the buyer would use the product and get utility. Without use value, commodity cannot be exchanged. For any producer or capitalists, the exchange value of the commodity matters. Things that have use value but no exchange value cannot be a commodity like air. So a commodity should have both use value and exchange value.

Labor:

According to the Marx, the only element was common to ball commodities was the labor time required for their production. Marx asserted that labor time determined exchange values and he defined this labor time as consisting of simple homogenous labor. Marx distinguish between two ways of viewing labor.

Useful labor: The labor, whose value-in-use of its product or which manifests itself by making its product a use value.

Abstract labor: The labor that created exchange value was abstract labor where the differences in the qualities of various kinds of useful labor were abstracted away

Social Nature Of Commodity Production:

Products of human labor were commodities only when they were produced only for exchange for money in the market and not for the immediate use or enjoyment of the producers or anyone directly associated with the producers. According to Karl Marx, "The mode of production in which the product takes the form of a commodity, or is produced directly for exchange." Commodity production is not the characteristic form of social production until workers do not produce the products for their own subsistence, but must purchase them from capitalists. This is the source of the capitalists ' power over workers in a commodity producing society. For being a commodity producing society, three historical prerequisites were necessary:

- There had to evolve a degree of productive specialization such that each individual producer continuously produced the same product.
- Such specialization necessarily required the complete "separation of use-value from exchange-value.
- A commodity-producing society required an extensive, well-developed market, which required the pervasive use of money as a universal value equivalent mediating every exchange.

Marx distinguishes between the use-value and the exchange value of the commodity. Use-value is inextricably tied to "the physical properties of the commodity"; that is, the material uses to which the object can actually be put, the human needs it fulfills. In the exchange of goods on the capitalist market, exchange-value dominates: two commodities can be exchanged on the open market because they are always being compared to a third term that functions as their "universal equivalent," a function that is eventually taken over by money. In capital, money takes the form of that equivalence; however, money in fact hides the real equivalent behind the exchange: labor. The producer was socially and economically connected to other producers. Many of them could not continue their ordinary daily patterns of consumption without the given producer creating a commodity, which the other producers consumed. Thus, there was a definite, indispensable social relationship among producers.

Each producer produced only for sale in the market. With the proceeds of the sale, the producer bought the commodities that he or she needed. The producer's well-being appeared to depend solely on the quantities of other commodities for which the producer could exchange his or her commodity. Marx wrote "To them their own social action takes the form of the action of objects, which rule the producers, instead of being ruled by them." There was a social relationship which is simply a relationship between the individual and an impersonal, immutable social institution the market. The market appeared to involve simply a set of relationships among material things-commodities.

In a commodity-producing society, the use values produced by useful labor could not be consumed and enjoyed without the successful functioning of market exchange. But it was still only useful labor that produced the use values that sustained human life and generated all of the utility derived from consumption. Bourgeois economists believed that such utility was generated in exchange itself. Exchange seemed to them to be universally benevolent and to harmonize every individual's interests with those of all other individuals. Bourgeois economists had been unable to visualize anything but in a commodity-producing society, no one could enjoy the utility created by useful labor unless the market functioned. But this fact in itself gave no clue as to the nature of social relations among the various classes in a capitalist society or to whether these relations were harmonious or conflicting.

Simple Commodity Circulation And Capital Circulation:

In simple commodity production in a non capitalist system, commodities were produced for sale in order to acquire other commodities to use. In such

a system, Marx wrote,

Commodity-Money-Commodity

C-M-C

The simplest form of circulation of commodities is C-M-C the transformation of commodities into money, and the change of the money back again into commodities; or selling in order to buy. But alongside this form we find another specifically different form: M-C-M, the transformation of money into commodities, and the change of commodities back again into money; or buying in order to sell. Money that circulates in the latter manner is thereby transformed into, becomes capital, and is already potentially capital. Therefore, this circulation process could better be described as M-C-M', where M' is greater than M. Unlike the C-M-C circulation, the M-C-M' circulation ended with a greater value than it had at the beginning

Surplus value, Exchange , and the Sphere of Circulation:

In Marxian economics, surplus value is the difference between the amount raised through a sale of a product and the amount it cost to the owner of that product to manufacture it, or the amount raised through sale of the product minus the cost of the materials. On the other hand, Marx regards exchange-value as the proportion in which one commodity is exchanged for other commodities. For Marx, exchange-value is not identical to the money price of a commodity. In simple commodity production in non capitalist system, commodities were produced for sale in order to acquire other commodities to use. Thus the exchange of commodities can be written by the following form:

Commodity-Money-Commodity or, C-M-C

Marx takes the circulation of commodities to be the exchange of commodities for money and money for other commodities. He depicts this as C-M-C', where C-C' represents both a change in the form of the commodity and, as is implied by the commodity as capital, an increase in value. This formula simply says, the transformation of commodities into money, and the change of the money back again into commodities. But in capitalism we find another form that is different from above. That specifically different form is M-C-M, the transformation of money into commodities, and the change of commodities back again into money. But the purpose of the circulation was "buying in order to sell dearer". Thus it could be better described as M-C-M'. Here M' is greater than M. The M-C-M' cycle is the transformation of money (M) into commodities (C), and the change of commodities back again into money (M') of altered value.

Thus the producers' motive was greater quantities of surplus value that is the main purpose of capitalist system. Now the possessor of money becomes the capitalist and they are always concerned about their money. Their aim is the expansion of value, which results more wealth.

Therefore the capitalist never look upon the use value of the product. Profit-making is the only aim of capitalist. In Das Capital, Marx proposes that the motivating force of capitalism is in the exploitation of labor, whose unpaid work is the ultimate source of surplus value. So the general formula for capitalism was M-C-M' that gave the rise to surplus value, and as we discussed before that M' is greater than M, the excess of M' over M could be found within the sphere of circulation. Exchange of a commodity could take place at its equal value, above or below its value. If exchange took place at the value of the commodity, then equivalent would be exchanged. And no surplus value would arise.Again, if the exchange value is over value, then the seller would gain that exchange value. On the other hand the buyer would lose an equal amount of exchange value. So it is obvious that, there would be no net gain between the two parties. Similarly if the if the exchange value is below the value of the commodity, then the buyer's gain would be the same as seller's loss. Again there would be no net gain at surplus value. Thus Marx concluded that the essential feature of capitalism that gave rise to surplus value, or profit, could not be found in the sphere of circulation. As a result, Marx turned his attention to the sphere of production. The rules of sphere of circulation were freedom, equality, property and Bentham. Both buyer and seller contracted as free agents and were concerned about them. Each only looked only to himself. He, who before was the money owner, now strides as the capitalist. One was pretending as superior, and the other was timid and holding back.

Circulation of Capital and the Importance of production:

The surplus value was actually created in the sphere of production. In the M-C-M' formula, the process of profit making was that of merchant capital. According to Marx, neither merchant capital nor interest-bearing money capital were not the reason of creation of surplus value. It was for this reason that both these forms of capital could appear in the feudal mode of production and share in its surplus. Industrial capital was the form of capital that was the most representative of the capitalist mode of production, by which surplus value was both created and expropriated in capitalism.

The capitalist mode of production is characterized by private ownership of the means of production, extraction of surplus value by the owning class for the purpose of capital accumulation, wage-based labor and—at least as far as commodities are concerned—being market-based.

According to Marx, industrial Capital could be described in three stages:

1. The capitalist appeared as a buyer and his money was transformed into commodities.

2 .He played the role of the capitalist, his capital passed through the process of production. As a result, the value of the final commodity was more than that of the elements entering into its production.

3. The capitalist returned to the market as a seller and his commodities were turned into money.

The circuit of money-capital formula is**: M-C....P....C'-M'**

The P in Marx's formula indicated the process of production. Here M' exceeded M because C' exceeded C. And the surplus in both cases were equal.Thus,the origin of surplus value took place because, the capitalists bought one set of commodities and sold entirely different set. The first set of commodities(C) was the ingredients for production. And the second set of commodities(C') were the output of the production process. So we can say that, in the production process, capitalists consumed the use value of the inputs that they bought as commodities. Thus, production was carried out for exchange and circulation in the market, aiming to obtain a net profit income from it. The owners of the means of production (capitalists) constituted the dominant class (bourgeoisie) who derived its income from the exploitation of the surplus value.

Labor, Labor power & the detonation of Capitalism :

- Labor, labor power – capacity to work or potential labor.
- Actualizing this potential labor, labor power was sold as a commodity.
- The performed work embodied in a commodity & giving the commodity value.
- So when it comes to creating surplus value – difference between the value of labor power as a commodity & the value of commodity produced.
- Two essential conditions,
  - The laborer who holds the labor power can offer it for sale or sell it as a commodity & turns him from a free man into a slave or commodity.
  - The owner of money, who holds capital, must meet in the market with the laborer.
- There comes capitalism – one small class of people (capitalists) who had monopolized the means of production.
- Workers had two choices: starve or sell their labor power.
- Thus, the capitalists or ruling class expropriate the surplus value from the actual producers of commodities, the laborers.

The value of labor power :

- The distinction between labor power and the use value of labor power was of crucial significance.

- The value of labor power determined by the labor-time necessary for the production process.
- The value of labor power (wage) was equal to the minimum subsistence of a worker's family that became the habits & degree of comfort for the working class.
- This wage also differs among various occupations by labor of varying skills & the expenses of this education entered into the total value of various types of labor power.
- And still it was fairly easy to ascertain the average quantity of means of minimum subsistence necessary for the laborer.
- Dividing by 365, one can find the amount of labor embodied in the means of subsistence for one family for one day.
- So the various laborers producing various commodities for workers collectively expended an average of four hours to produce these commodities to meet their necessary subsistence of one person's labor power.

Necessary Labor, Surplus Labor, and the Creation and Realization of Surplus Value

Necessary Labor: It is nothing but the labor expended by workers in material production to create necessary products. The qualitative features of necessary labor are determined by the level of development of social production in a given socio economic system. In the primitive communal system, where labor productivity was extremely low, virtually all labor was necessary and secured only the most minimal, meager means of existence.

Surplus labor : It means labor performed in excess of the labor necessary to produce the means of livelihood of the worker (necessary labor). The "surplus" in this context means the additional labor a worker has to do in their job, beyond earning their keep. According to Marxian economics, surplus labor is usually uncompensated (unpaid) labor. In capitalism the working day always extended beyond this necessary labor time. This extended portion of the Working day was named surplus labor time and the labor extended during the time named surplus labor by Marx.

The Creation And Realization of Surplus Value:

The formula for the circulation of industrial capital:

M-C ... P ... C'-M' .

The capitalist began with money capital (a fund of value embodied in money).There is three different kinds of commodities: raw materials, tools, and labor power. Next came production.

Just for assumption we can say that all of the tools and raw materials were used up in one period of production. During the production process, the capital was transformed into finished goods (capital then became a fund of value embodied in finished goods).The value of the finished goods came from three sources: the raw materials, the tools, and the labor power. First, then, there are the raw materials and tools. As commodities, raw materials and tools had values determined by the labor already embodied in them.

After the final production of cloth, the cloth embodied all of the labor involved in producing the wool. The wool could not transfer to the cloth any more labor than was already embodied in it. Therefore, the value of the wool (its labor content) was transferred exactly in its original amount to the cloth.

It was different, however, with labor power. Let us say that the labor embodied in one day's labor power was four hours. Now, assume that the working day was ten hours. One day's labor power, therefore, had a value of four hours, but when the work was actually performed, the labor added a value of ten hours to the cloth. Each day a worker labored, the capitalist used up the commodity labor power having an exchange value determined by four hours of embodied labor. But the actual labor extracted from one day's labor power created an exchange value in the wool determined by the full ten hours worked.

Thus, after production, the capitalist's capital was a fund of value embodied in commodities (in our example, cloth). This was the C' in Marx's formula

M-C ... P ... C'-M'.

It is now clear, from the foregoing discussion, that the value of the commodities C' (cloth) exceeded the value of the commodities C (wool, spinning wheels, looms, and labor power) by an amount exactly equal to the excess of the length of the working day over the necessary labor time required to produce the laborers' subsistence. (This assumes that the capitalist bought only one day's labor power.

If the capitalist bought fifty days of labor power, then the surplus value of C' over C would be this difference multiplied by fifty.) This was why Marx insisted that commodity labor power was the only source of surplus value.

In the last stage of the circulation, the commodities C' (cloth) were exchanged for an equivalent amount of money M'. The capital had completed a full cycle, going from money to commodities, through production to a new set of commodities, and finally back to money. M' exceeded M by exactly the same amount that C' exceeded C. Only exchanges of value equivalents had taken place, but now the capitalist had a fund of money capital that was of greater value than the original fund. The capitalist was now in a position to begin the process again, only this time on an expanded scale with more capital. Capitalism represented a never-ending repetition of this process. Capital created surplus value, which was the source of more capital, and, in turn, more surplus value.

Constant Capital, Variable Capital, and the Rate of Surplus Value:

Constant Capital: Constant capital was defined as all tools, machines, buildings, and raw materials-all nonhuman means of production. It was called constant because these commodities transferred only their own value to the value of the final product. Hence, the value embodied in these means of production remained constant when transmitted into a product.

Variable Capital: Variable capital was defined as the labor power that the capitalist purchased. Its value was increased when the potential labor purchased became actual labor embodied in a produced commodity.

The capital C is made up of two components,
one, the sum of money c laid out upon the means of production,
Two, the sum of money v expended upon labor-power.
At first then,

$$C = c + v$$

When the process of production is finished, we get a commodity (C) whose value

$$(c + v) + s$$

Where s is the surplus value.

The Rate of Surplus Value :

"s/v =surplus labor / necessary labor"

The rate of surplus value tells us how many hours the laborer worked to create profits for the capitalist for each hour the laborer worked to create the value equivalent to his or her own subsistence. In our previous example, the working day was ten hours, four hours of which replaced the value of the labor power (or created the value equivalent of the worker's subsistence). The rate of surplus value was therefore 6/4, or 1.5. This means that the laborer worked one and one-half hours producing profits for the capitalist for each hour that the laborer worked for him or herself.

The difference between labor and labor power was clearly the source of surplus value. As Marx was later to show, profits, interest, and rents were merely the divisions of surplus value among the capitalist class. Only capital that employed productive workers made possible the creation of surplus value in the capitalist mode of production.

Length of the Working Day :

The magnitude of the difference between labor and labor power depended primarily on the length of the working day. For the hunger for surplus labor capital oversteps not only the moral, but even the merely physical maximum bounds of the working-day. It usurps the time for growth, development, and healthy maintenance of the body. It steals the time required for the consumption of fresh air and sunlight. It haggles over meal-time, incorporating it where possible with the process of production itself, so that food is given to the laborer as a mere means of production.

Capital cares nothing for the length of life of labor-power. All that concerns it is simply and solely the maximum of labor-power that can be rendered fluent in a working-day. In every instance of this conflict, capital is reckless of the health or length of the life of the laborer, unless under compulsion from society.

The Labor Theory of Value:

The Labor Theory of Value is a fundamental concept in Karl Marx's economic thought, which posits that the value of a commodity is determined by the amount of labor time required to produce it. This idea can be traced back to classical economists like Adam Smith and David Ricardo, who believed that the value of a product was determined by the amount of labor that went into producing it. However, Marx went further than his predecessors by arguing that the value of a commodity is not only determined by the labor time required to produce it, but also by the socially necessary labor time, or the average amount of time required to produce the same commodity under current conditions of production.

Marx used the Labor Theory of Value to develop his theory of exploitation, which states that the surplus value created by workers is appropriated by capitalists as profit. According to Marx, the value of labor power (the amount of labor a worker can perform in a given period) is determined by the socially necessary labor time required to reproduce that labor power. This means that workers are paid for only a portion of the value they create, while the remainder is taken as profit by capitalists. That is-

$$W = L_d + L_n + L_s$$

Where, w= value

L_d= Dead labor (Capital)

L_n= necessary labor

L_s= Surplus Labor

One of the most significant challenges to the LTV was the "transformation problem," which was first identified by the economist Piero Sraffa. The Transformation Problem refers to the difficulty of transforming Marx's values (which are determined by the amount of labor time required to produce a commodity) into prices (which are determined by supply and demand in the market). If prices are not equal to values, then the Labor Theory of Value cannot accurately explain the operation of the capitalist economy.

The transformation problem can be demonstrated using a simple example. Suppose that a firm produces a commodity using a combination of two inputs: labor and capital. The value of the labor input is determined by the amount of labor required to produce it, while the value of the capital input is determined by the amount of labor required to produce the capital goods needed to produce the commodity. The value of the commodity is then the sum of the values of the labor and capital inputs.

Now suppose that the labor input is paid a wage of $10 per hour, while the capital input earns a return of 5% per year on its investment. If the labor required to produce the commodity is 10 hours, and the capital investment required is $1,000, then the value of the commodity is $100 (10 x $10) + $50 (5% of $1,000) = $150.

However, in a capitalist economy, the price of the commodity will be determined by market forces, rather than the values of the inputs. If the demand for the commodity is high, the price may be above its value, while if the demand is low, the price may be below its value. In this case, the price of the commodity may be $200, even though its value is only $150.

The transformation problem arises when one tries to reconcile the values of the inputs with the prices of the outputs. If the price of the commodity is $200, then the labor input is not being paid its full value, since it is only receiving $100 (10 hours x $10 per hour) of the $200 price. This means that the value of the labor input is being transferred to the capital input, which is receiving $50 of the $200 price even though its value is only $50.

This problem is not always solvable, as there may be multiple solutions for prices that are consistent with the values of the inputs. This is because the transformation from values to prices is not a one-to-one function, due to the influence of market forces on the price of outputs.

Theoretically,

when pricing,

$$p = c + v + r\,(c + v)$$

where, p= price of production

c= constant capital

v= variable capital

r= profit

Comparing two equations, we can say, price corresponds to value; constant capital corresponds to dead labor;variable capital corresponds to necessary labor; and profit or surplus value correspondsto surplus labor. This is the logic by which money prices correspondto, and indeed are, the empirical manifestation of abstract labor.

The rate of profit is-

$$r = \frac{s}{c+v} = \frac{s/v}{\left(c/v\right)+1}$$

s/v is rate of surplus value.

And, organic Composition of Capital is-

$$c/v$$

Capitalists always want to rise c/v. And as technology develops, constant capital rises. High organic composition of capital country like Japan, UK, China are well-known developed countries.

Because the rate of surplus value is derived from the length of the work day and the wage rate, it followed that it tended to be equal among different sectors. Competition and the mobility of capital also tended to equalize the rate of profit among all sectors of the economy. Therefore, looking at above equation, it is clear that in order for both r and s/v to be equal among all sectors, it is logically necessary for c/v, the organic composition of capital, to be equal among all sectors. But c/v varied significantly among sectors. Marx's solution to this apparent contradiction was to differentiate between the creation or production of surplus value in the "sphere of production" on the one hand and the realization of surplus value through the sale of commodities in the "sphere of circulation" (the market) on the other hand.

Private property, capital and Capitalism

Marx had shown that through a series of exchanges in which all commodities exchanged at their proper values, surplus values arose not through exchange but in the production process. He also had shown that surplus value could be exchanged only in a socio-economic system where the "free" laborer sold his or her labor power to the owner of capital. Thus "free laborers" who owned no significant means of producing were a prerequisite for the existence of capital. Thus, capital had to involve a very specific set of social relationship.

But orthodox economic theorists during Marx's time to till today defined capital as the previously produced means of production. But Marx recognized that capital is involved, at least partially, the mere produced means of further production, which could be said to be exist in all societies and in all historical epochs. But the orthodox economists' capital did not exist in all epochs. Capital and the laws of private property had become the mechanism, within the capitalist mode of production, by which a ruling class coercively expropriate the economic surplus created by the working class.

Primitive Accumulation:

Once the capital has come into existence, capital makes more surplus value and surplus value makes more capital possible. Which is a continuous upward spiral process? The capitalist system presupposed a propertyless working class and a wealthy capitalist class. Marx gave the name "primitive accumulation" to the actual historical process by which these two classes had been created.

Primitive accumulation could be looked at from two different vantage points;

- The creation of propertyless, economically helpless and dependent working class.
- And the creation of wealthy capitalist class having monopolistic control over the means of production.

The pre-capitalist feudal society had been predominantly agricultural. Therefore , the creation of the working class involved the destruction of feudal social ties by which most laboring people had been access to the land and thus had maintained their ability to produce.

In addition to the land becoming a part of capital, it was necessary for large fortunes to be accumulated that could be transformed into industrial capital. Marx addressed the source of such capital as;

The discovery of gold and silver in America, the extirpation, enslavement and entombment in the mines of the aboriginal population, the beginning of the conquest and looting East Indies, turning of Africa into a warren for the commercial hunting of black skins, signaled the rosy dawn of the era of capitalist production.

Capitalist Accumulation

With the birth of capitalism, the power of capitalist that Mark maintained became guaranteed by the new laws of private property. Because capitalist of their spokespersons were the advocates of “law and order”.

Given the social, legal and economic foundation of the capitalist system, its “laws of motion” reflected he motive force that propelled the system-the ceaseless, unending drive to accumulate capital. The power of a capitalist depended on the size of the capital he or she controlled. The system demanded that he or she accumulate or grow more powerful in order to outdo competitors, or otherwise other capitalists who have more capital will take over his or her capital. Thus there begins a competition of constant development of new and better methods of production. In short, there were a continuous challenge of accumulating capital, if not then the capitalist will be in danger of losing his or he capital by other capitalist holding more capital.

Economic Concentration

Contemporary Influence:

Marx's work laid the foundations for future communist leaders such as Vladimir Lenin and Josef Stalin. Operating from the premise that capitalism contained the seeds of its own destruction; his ideas formed the basis of Marxism and served as a theoretical base for communism.

Nearly everything Marx wrote was viewed through the lens of the common laborer. From Marx comes the idea that capitalist profits are possible because the value is "stolen" from the workers and transferred to employers.

Marxist ideas in their pure form have very few direct adherents in contemporary times; indeed, very few Western thinkers embraced Marxism after 1898, when economist Eugen von Böhm-Bawerk's Karl Marx and the Close of His System was first translated into English. In his damning rebuke, Böhm-Bawerk showed that Marx failed to incorporate capital markets or subjective values in his analysis, nullifying most of his more pronounced conclusions. Still, there are some lessons that even modern economic thinkers can learn from Marx.

Though he was the capitalist system's harshest critic, Marx understood that it was far more productive than previous or alternative economic systems. In Das Kapital, he wrote of "capitalist production" that combined "together of various processes into a social whole," which included developing new technologies.

He believed all countries should become capitalist and develop that productive capacity, and then workers would naturally revolt, leading communism whereby the workers would become the dominant social class and collectively control the means of production. But, like Adam Smith and David Ricardo before him, Marx predicted that because of capitalism's relentless pursuit of profit by way of competition and technological progress to lower the costs of production that the rate of profit in an economy would always be falling over time.

<u>The tendency of the rate of profit to fall (TRPF):</u>

Is a theory in the crisis theory of political economy, according to which the rate of profit the ratio of the profit to the amount of invested capital decreases over time. This hypothesis gained additional prominence from its discussion by Karl Marx but economists as diverse as Adam Smith, John Stuart Mill, David Ricardo and Stanley Jevons referred explicitly to the TRPF as an empirical phenomenon that demanded further theoretical explanation, although they differed on the reasons why the TRPF should necessarily occur.

In Marx's critique of political economy, the value of a commodity is the amount of labour that is socially necessary to produce that commodity. Marx argued that technological innovation enabled more efficient means of production. In the short run, physical productivity would increase as a result, allowing the early adopting capitalists to produce greater use values (i.e., physical output). However, in the long run, if demand remains the same and the more productive methods are adopted across the entire economy, the amount of labor required (as a ratio to capital, i.e. the organic composition of capital) would decrease. Now, assuming value is tied to the amount of labor necessary, the value of the physical output would decrease relative to the value of production capital invested. In response, the average rate of industrial profit would therefore tend to decline in the longer term.

Countertendencies:

Marx regarded the TRPF as a general tendency in the development of the capitalist mode of production. Marx maintained, however, that it was only a tendency, and that there are also "counteracting factors" operating which had to be studied as well. The counteracting factors were factors that would normally raise the rate of profit. In his draft manuscript edited by Friedrich Engels, Marx cited six of them:

- More intense exploitation of labor (raising the rate of exploitation of workers).
- Reduction of wages below the value of labor power (the immoderation thesis).
- Cheapening the elements of constant capital by various means.
- The growth of a relative surplus population (the reserve army of labor) which remained unemployed.
- Foreign trade reducing the cost of industrial inputs and consumer goods.

- The increase in the use of share capital by joint-stock companies, which devolves part of the costs of using capital in production on others.

Nevertheless, Marx thought the countervailing tendencies ultimately could not prevent the average rate of profit in industries from falling; the tendency was intrinsic to the capitalist mode of production. In the end, none of the conceivable counteracting factors could stem the tendency toward falling profits from production.

Other Thoughts of Karl Marx

- **Philosophy and social thought**

Marx's polemic with other thinkers often occurred through critique and thus he has been called "the first great user of critical method in social sciences". He criticised speculative philosophy, equating metaphysics with ideology. By adopting this approach, Marx attempted to separate key findings from ideological biases This set him apart from many contemporary philosophers.

- **Human nature**

The philosophers G.W.F. Hegel and Ludwig Feuerbach whose ideas on dialectics heavily influenced Marx Like Tocqueville, who described a faceless and bureaucratic despotism with no identifiable despot,[Marx also broke with classical thinkers who spoke of a single tyrant and with Montesquieu, who discussed the nature of the single despot. Instead, Marx set out to analyse "the despotism of capital". Fundamentally, Marx assumed that human history involves transforming human nature, which encompasses both human beings and material objects. Humans recognise that they possess both actual and potential selves. For both Marx and Hegel, self-development begins with an experience of internal alienation stemming from this recognition, followed by a realisation that the actual self, as a subjective agent, renders its potential counterpart an object to be apprehended. Marx further argues that by moldings nature in desired ways the subject takes the object as its own and thus permits the individual to be actualised as fully human. For Marx, the human nature– *Gattungswesen*, or species-being– exists as a function of human labour. Fundamental to Marx's idea of meaningful labour is the proposition that for a subject to come to terms with its alienated object it must first exert influence upon literal, material objects in the subject's world. Marx acknowledges that Hegel "grasps the nature of work and comprehends objective man, authentic because actual, as the result of his *own work*", but character rises Hegelian self-development as unduly "spiritual" and abstract.[Marx thus departs from Hegel by insisting that "the fact that man is a corporeal, actual, sentient, objective being with natural capacities means that he has actual, sensuous objects for his nature as objects of his life-expression, or that he can only express his life in actual sensuous objects". A Consequently, Marx revises Hegelian "work" into material "labour" and in the context of human capacity to transform nature the term “labour power”.

- **International relations**

Marx viewed Russia as the main counter-revolutionary threat to European revolutions. During the Crimean War, Marx backed the Ottoman Empire and its allies Britain and France against Russia. He was absolutely opposed to Pan-Slavism, viewing it as an instrument of Russian foreign policy. Marx had considered the Slavic nations except Poles as 'counter-revolutionary'. Marx and Engels published in the Neue Rheinische Zeitung in February 1849:
To the sentimental phrases about brotherhood which we are being offered here on behalf of the most counter-revolutionary nations of Europe, we reply that hatred of Russians was and still is the primary revolutionary passion among Germans; that since the revolution [of 1848] hatred of Czechs and Croats has been added, and that only by the most determined use of terror against these Slav peoples can we, jointly with the Poles and Magyars, safeguard the revolution. We know where the enemies of the revolution are concentrated, viz. in Russia and the Slav regions of Austria, and no fine phrases, no allusions to an undefined democratic future for these countries can deter us from treating our enemies as enemies. Then there will be a struggle, an "inexorable life-and-death struggle", against those Slavs who betray the revolution; an annihilating fight and ruthless terror – not in the interests of Germany, but in the interests of the revolution!"
Marx and Engels sympathized with the Narodnik revolutionaries of the 1860s and 1870s. When the Russian revolutionaries assassinated Tsar Alexander II of Russia, Marx expressed the hope that the assassination foreshadowed 'the formation of a Russian commune'. Marx supported the Polish uprisings against tsarist Russia. He said in a speech in London in 1867:
In the first place the policy of Russia is changeless... Its methods, its tactics, its manoeuvres may change, but the polar star of its policy – world domination – is a fixed star. In our times only a civilised government ruling over barbarian masses can hatch out such a plan and execute it. ... There is but one alternative for Europe. Either Asiatic barbarism, under Muscovite direction, will burst around its head like an avalanche, or else it must re-establish Poland, thus putting twenty million heroes between itself and Asia and gaining a breathing spell for the accomplishment of its social regeneration.

Marx supported the cause of Irish independence. In 1867, he wrote Engels: "I used to think the separation of Ireland from England impossible. I now think it inevitable. The English working class will never accomplish anything until it has got rid of Ireland. ... English reaction in England had its roots ... in the subjugation of Ireland."
"Marx's analysis of colonialism as a progressive force bringing modernization to a backward feudal society sounds like a transparent rationalization for foreign domination. His account of British domination, however, reflects the same ambivalence that he shows towards capitalism in Europe. In both cases, Marx recognizes the immense suffering brought about during the transition from feudal to bourgeois society while insisting that the transition is both necessary

and ultimately progressive. He argues that the penetration of foreign commerce will cause a social revolution in India.

Marx discussed British colonial rule in India in the New York Herald Tribune in June 1853: There cannot remain any doubt but that the misery inflicted by the British on Hindostan [India] is of an essentially different and infinitely more intensive kind than all Hindostan had to suffer before. England has broken down the entire framework of Indian society, without any symptoms of reconstitution yet appearing... [however], we must not forget that these idyllic village communities, inoffensive though they may appear, had always been the solid foundation of Oriental despotism, that they restrained the human mind within the smallest possible compass, making it the unresisting tool of superstition.

Sectoral Imbalances and Economic Crises:

When Marx asserted that wages would tend toward the subsistence level, he was in agreement with nearly all of the classical economists who had preceded him. When he stipulated that this subsistence was culturally and not biologically determined, he was in agreement with Mill. He disagreed with all of these economists, however, as to the social mechanism by which wages were kept at that level. The tendency of wages toward the socially defined subsistence was a result of the fact that Competition among workers kept wages near subsistence because members of the "industrial reserve army" of unemployed workers usually lived below the subsistence level and always strove to take jobs that would pay a mere subsistence. As accumulation took place, however, a boom period would create such a sharp increase in the demand for labor that the ranks of the reserve would be quickly depleted. When this happened, the capitalist would find that he had to pay higher wages to get enough labor. Because the individual capitalist took the wage level as given. The most profitable course of action seemed to be to change the techniques of production by introducing new labor-saving machinery so that each laborer would then be working with more capital and output per worker could be increased. This labor-saving accumulation of capital would enable the capitalist to expand output with the same or an even smaller workforce. When all or most of the capitalists, acting individually, did this, the problem of high wages was temporarily mitigated as the reserve army was piled up by workers displaced by the new techniques of production. The creation of technological unemployment saved the day, but not without introducing new problems and dilemmas.

Labor-saving expansion permitted increases in total production without increasing the wages paid to workers. Therefore, while new commodities were flooding the market, workers' wages were being restricted, with the result that consumer demand was limited. The workers were still creating surplus value embodied in commodities, but the capitalists could not transform these commodities into money or realize their profits by selling these commodities in the market, because of lack of consumer demand.

In order to clarify this process further, Marx divided the capitalist economy into two sectors, one producing consumer goods and the other producing capital goods. Smooth, continuous expansion of the economy required that the exchange between these two sectors be balanced. That is, the consumption goods demanded by the workers and capitalists in the sector producing capital goods had to balance the demand for capital goods by the capitalists in the sector producing consumer goods. If this did not occur, supply would not equal demand in either sector. But the relative size of the productive capacities of the two sectors had been at least roughly determined in the period preceding the introduction of the labor-saving technology. Consequently, after the restriction of workers' wages, the relative productive capacities did not correspond to the new re-distribution of income between wages and profits, and the sector producing consumer goods found itself with excess capacity or inadequate market demand for its products.

In this situation, the capitalists in the consumer goods industry would certainly not want to add immediately to their production facilities. They would, therefore, cancel any plans to add to their already excessively large capital stock. These decisions would, of course, significantly reduce the demand for capital goods, which would result in a decrease in the production of the capital-goods sector. Unlike some early under-consumptionist theories of business crises (or depressions), Marx's theory posited as the originating cause of a depression a structural imbalance between the productive capacities of the two sectors and the distribution of income between wages and profits (which tended to determine the demand for the output of the two sectors). When this imbalance occurred, the first obvious sign of a depression might appear in either sector.

When the production of capital goods decreased, workers were fired, total wages declined, and, consequently, consumer demand decreased. This led to reduced production in the consumer-goods industry, more layoffs, less demand, and so forth, in a declining spiral. In the process, of course, the industrial reserve army of the unemployed was more than replenished.

Alienation and the Increasing Misery of the Proletariat:

The process of primitive accumulation created a class of workers with nothing to sell but their labor power. Moreover, which workers produced-capital came to control them. The further process of accumulation extended the domain of capital over increasing numbers of workers and intensified the control of capital over all wage laborers. In Marx's opinion, the entire process had extraordinarily pernicious effects on workers. It systematically prevented them from developing their potentialities. They could not become emotionally, intellectually, or esthetically fully developed human beings. In pre-capitalist social systems like feudalism, an individual could at least partially achieve this self-realization through work, despite an exploitative class structure. This changed with capitalism in Marx's opinion.

In a capitalist society, the market separated and isolated exchange value, or money price, from the qualities that shaped man's relations with things as well as with other human beings. This was especially true in the work process. To the capitalist, wages were merely another expense of production to be added to the costs of raw materials and machinery in the profit calculation. Labor became a mere commodity to be bought if a profit could be made. Whether the laborer could sell his or her labor power was completely beyond the la- borer's control. It depended on the cold and totally impersonal conditions of the market. The laborer's product was likewise totally outside the laborer's life, being the property of the capitalist.

Marx used the term alienation to describe the condition of men and women in this situation. They felt alienated or divorced from their work, from their institutional and cultural environment, and from their fellow workers. It was this degradation and total dehumanization of the working class, thwarting man's personal development Furthermore, Marx argued that the progressive accumulation of capital worsened the worker's alienation. The counterpart of the law of the increasing concentration of capital was what Marx called the "law of the increasing misery" of the proletariat. It should be noted that Marx asserted that the laborer would become worse off even if wages increased. It is necessary to stress this point because many writers have interpreted the law of increasing misery as meaning that the volume of material commodities that workers would be able to consume would consistently decline. Although Marx did once make such a statement in his youth, he later changed his mind. We do not find any argument in his mature writings to suggest that he believed wages would continuously decline. On the contrary, in Capital he clearly stated that he believed wages would actually rise as accumulation proceeded.

Therefore, when Marx wrote "as capital accumulates, the lot of the laborer, be his payment high or low, must grow worse," he definitely was not asserting that wages were going to decline. He clearly was referring to an increase in alienation and general misery. As capital was accumulated, he believed, the creative, emotional, aesthetic, and intellectual potential of workers would be systematically thwarted. But this destructiveness would, he believed, also constitute an historic act of creativity. From the shell of the old exploitive system, workers would create a new socialist system in which cooperation, planning, and human development would take the place of competition, anarchy of the market, and human degradation, exploitation, and alienation.